Playbook: Limitation of Liability

NORTHWIND SYSTEMS INTERNAL NEGOTIATION PLAYBOOK ## SECTION 4: LIMITATION OF LIABILITY

4.1 Preferred Position and Model Clause Language

The standard Northwind position for all enterprise B2B SaaS Master Subscription Agreements (MSAs) limits aggregate liability to the fees paid in the preceding twelve-month period and enforces a strict mutual waiver of indirect, consequential, and punitive damages. Legal Operations (Sarah Chen) owns the drafting and maintenance of this clause.

Model Clause Language:

> Section 12. Limitation of Liability.
>
> 12.1 Exclusion of Indirect Damages. To the maximum extent permitted by applicable law, neither party, nor its suppliers or licensors, shall be liable to the other party for any indirect, incidental, punitive, special, or consequential damages, including loss of profits, loss of revenue, loss of data, business interruption, or cost of cover, arising out of or in connection with this Agreement or the subject matter hereof, regardless of the theory of liability, whether in contract, tort (including negligence), strict liability, or otherwise, even if advised of the possibility of such damages.
>
> 12.2 Cap on Liability. Except for liability arising under Section 12.3, each party's total aggregate liability arising out of or relating to this Agreement, whether in contract, tort (including negligence), or otherwise, shall be strictly limited to, and shall under no circumstances exceed, the total fees actually paid by Customer to Northwind Systems in the twelve (12) month period immediately preceding the event giving rise to liability. For the avoidance of doubt, multi-year prepayments shall be annualized for the purpose of calculating this cap.
>
> 12.3 Super-Cap and Exclusions. The limitations and exclusions set forth in Section 12.1 and Section 12.2 shall not apply to: (a) a party's breach of its confidentiality obligations under Section 8; (b) a party's indemnification obligations under Section 11; (c) Customer's obligation to pay fees when due; or (d) gross negligence, willful misconduct, or intentional breach by the liable party. Total aggregate liability under Section 12.3(a) and Section 12.3(b) shall be capped at three (3) times the total fees actually paid by Customer to Northwind Systems in the twelve (12) month period immediately preceding the event, or Five Hundred Thousand United States Dollars ($500,000 USD), whichever is greater.

4.2 Fallback Position

If the counterparty rejects the 12-month trailing fee cap or demands uncapped liabilities, Sales Representatives and Account Executives are authorized to deploy the fallback position without General Counsel approval, provided the deal meets the minimum ARR threshold of Fifty Thousand United States Dollars ($50,000 USD).

Fallback Terms:
1. Cap Multiplier: Increase the aggregate liability cap from 1x to 2x the fees paid in the preceding twelve (12) month period.
2. Super-Cap Ceiling: For data privacy breaches or intellectual property indemnification claims, establish a super-cap of five (5) times the preceding 12 months' fees, or Two Million United States Dollars ($2,000,000 USD), whichever is lower.
3. Carve-Outs: Accept customary carve-outs for breach of data protection addenda (DPA), provided the DPA incorporates the same 2x multiplier or super-cap framework.

4.3 Walk-Away Position

The negotiating team must break off discussions and escalate to the General Counsel (Marcus Vance) if the counterparty insists on any of the following unnegotiable terms:

1. Uncapped Liability: Any demand for totally uncapped general liability.
2. Excessive Multipliers: Any liability cap exceeding five (5) times annual fees or any fixed-dollar cap exceeding Five Million United States Dollars ($5,000,000 USD) without a corresponding multi-million dollar annual contract value (ACV).
3. One-Sided Caps: Any clause that attempts to cap Northwind’s liability while leaving the Customer’s liability completely unlimited (specifically regarding payment defaults or intellectual property infringement of Northwind's underlying technology).
4. Failure to Waive Consequential Damages: Rejection of the mutual waiver of lost profits and consequential damages.

4.4 Numeric and Categorical Thresholds

The following numeric and categorical rules govern all liability negotiations:

1. Notice Period: A party must provide written notice of any claim arising under the MSA within ninety (90) calendar days of discovering the underlying event, or the claim is permanently barred.
2. Cure Period: The breaching party has a mandatory thirty (30) calendar day cure period from receipt of written notice to remedy any remediable material breach before the non-breaching party may terminate the agreement or initiate formal dispute resolution.
3. Monetary Floor for Claims: Neither party may bring a legal claim or initiate arbitration unless the cumulative alleged damages exceed Ten Thousand United States Dollars ($10,000 USD).
4. Fee Cap Multiplier Range: The absolute baseline multiplier is one (1) times trailing fees; the absolute maximum negotiable multiplier without executive escalation is three (3) times trailing fees.

4.5 Named Deviations Requiring Escalation

Any contract containing deviations from the preferred or fallback positions must be routed through the designated internal escalation chain before signature:

1. Deviation A (Acceptance of Customer Paper with Unilateral Liability Caps): Any agreement utilizing the Customer's standard terms where Northwind's liability is capped at fees paid, but Customer liability is subject to a separate, higher, or absent cap.
* *Escalate To:* Chief Financial Officer (Elena Rostova).
2. Deviation B (Extension of the Notice Period for Claims): Any agreement where the claims notice period is negotiated beyond one hundred twenty (120) days, or where the discovery window extends past the termination date by more than ninety (90) days.
* *Escalate To:* Vice President of Sales (David Kincaid).
3. Deviation C (Inclusion of Cyber-Insurance Offset Clauses): Any clause that conditions Northwind's liability cap on the existence, non-exhaustion, or direct payout of Northwind's Errors & Omissions or Cyber-Liability insurance policies.
* *Escalate To:* General Counsel (Marcus Vance).

4.6 Worked Examples of Counterparty Language

Acceptable Counterparty Language (Approved for Use)

* Example 1 (Modified Super-Cap):
> *"Notwithstanding anything to the contrary herein, each party’s aggregate liability for breaches of Section 8 (Confidentiality) shall be capped at the greater of two (2) times the fees paid under this Agreement in the prior twelve months or One Million Dollars ($1,000,000 USD)."*
Rationale: Aligns with fallback parameters, provides a predictable monetary floor, and maintains symmetry on confidentiality.

* Example 2 (Mutual Carve-Out Clarification):
> *"The limitations in Section 12 shall not apply to direct damages resulting from a party’s gross negligence or willful misconduct, subject to an aggregate limit of three (3) times the preceding year's fees."*
Rationale: While gross negligence is traditionally uncapped in our preferred position, capping it at a 3x multiplier is an acceptable fallback position for enterprise accounts with an ARR exceeding One Hundred Thousand United States Dollars ($100,000 USD).

Unacceptable Counterparty Language (Rejected – Do Not Sign)

* Example 1 (Unilateral Uncapped Liability for Northwind):
> *"Customer’s total liability under this Agreement shall be limited to the fees paid in the preceding twelve months. Northwind’s liability for service level failures, data loss, and security incidents shall be completely uncapped."*
Rationale: Asymmetry violates core risk management policy. Northwind never accepts uncapped liability for operational or security incidents.

* Example 2 (Inclusion of Operational Costs in Consequential Damages Waiver Bypass):
> *“For the purposes of this Section 12, 'consequential damages' shall not include Customer’s internal administrative costs, overtime pay for employees, or third-party contractor fees incurred to rebuild datasets lost due to Northwind’s system failure.”*
Rationale: This language reclassifies direct operational labor and contractor fees—which should be treated as general direct damages subject to the cap—as consequential exclusions designed to bypass the liability cap entirely.